

13. **Distinction as to legal estate in mortgages.**—The question whether the legal estate in a *mortgage in fee* passes by a general devise in the will of the mortgagee, stands on a different footing. The mortgagee has a *beneficial* interest in the property as a security, a distinction not always sufficiently adverted to, but which is strongly in favour of the legal estate passing to the person who is to receive the mortgage money (*i*). It is clear that the legal estate passes by a general devise of *securities for money* (*j*), and neither a general trust to sell and convert (*k*), nor a *charge [*229] of debts (*a*), will prevent it from so passing. And it is conceived, notwithstanding a former decision of the Court of Exchequer (*b*), that the case of a *general devise and bequest* of real and personal estate charged with debts or legacies admits of no substantial distinction (*c*). But the legal estate will not pass by a general devise of real estate, if there be *special trusts* for sale or other limitation, &c., which would be inapplicable to an estate in mortgage (*d*).

[**Distinction now not material.**—The distinction between mortgaged estates and trust estates has ceased, in the case of the mortgagee or trustee dying after the 31st December, 1881, to be material; as in either case the power of disposing of the legal estate is now vested in the personal representatives of the mortgagee or trustee so dying (*e*).]

14. **Power of a trustee in equity to devise the trust estate.**—The rule that trust estates passed under a general devise assumed that a testator by making such a devise did not

(*i*) *Doe v. Bennett*, 6 Exch. 892; and comments of Vice Chancellor Kindersley on this case, *Re Cantley*, 17 Jur. 124; [and see *Heath v. Pugh*, 6 Q. B. D. 345, 360.]

(*j*) *King's Mortgage*, 5 De G. & Sm. 644, and cases there reviewed; *Knight v. Robinson*, 2 K. & J. 503; *Rippen v. Priest*, 13 C. B. N. S. 308; *Ex parte Whitacre*, cited 1 Sand. Uses and Trusts, 359, 4th edition.

(*k*) *Ex parte Barber*, 5 Sim. 461; *Mather v. Thomas*, 6 Sim. 115.

(*a*) *Field's Mortgage*, 9 Hare, 414;

overruling *Renvoize v. Cooper*, 10 Price, 78.

(*b*) *Doe v. Lightfoot*, 8 M. & W. 553.

(*c*) Now so decided. *Re Stevens' Trusts*, 6 L. R. Eq. 597; [*In re Brown and Sibly's Contract*, 3 Ch. D. 163.] But see *In re Packman and Moss*, 1 Ch. D. 214.

(*d*) *Re Cantley*, 17 Jur. 124; *Martin v. Laverton*, 9 L. R. Eq. 563; *Thirtle v. Vaughan*, 24 L. T. 5; *Re Finney's Estate*, 3 Giff. 465; [*Re Smith's Estate*, 4 Ch. D. 70.]

[(*e*) 44 & 45 Vict. c. 41, s. 30.]